

PETCO TRADING (UK) LIMITED
(Registered No. 06695912)

**DIRECTORS' REPORT, STRATEGIC REPORT AND
AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

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Registered address:
60 Ludgate Hill
London
EC4M 7AW
United Kingdom

**PETCO TRADING (UK) LIMITED
COMPANY INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2025**

Company name:

PETCO Trading (UK) Limited

Company registered number:

06695912

Registered office:

One New Ludgate
9th Floor, 60 Ludgate Hill
London EC4M 7AW

Directors:

Shamsul Bahari bin Salleh
Ezran Bin Mahadzir
Ahmad Rizal Bin Abdul Rahim
Dewi Izza Amir
Nik Mohsain Nik Ahmad

Independent auditor:

KPMG LLP
58 Clarendon road
Watford WD17 1DE

**PETCO TRADING (UK) LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

The Directors have pleasure in submitting their report and the audited financial statements of PETCO Trading (UK) Limited ("the Company") for the year ended 31 December 2025.

PRINCIPAL PLACE OF BUSINESS

The Company is a private limited company incorporated and domiciled in the United Kingdom (Registered No. 06695912) and has its registered address and principal place of business at One New Ludgate, 9th Floor, 60 Ludgate Hill, London, EC4M 7AW, United Kingdom.

PRINCIPAL ACTIVITIES

The principal activities of the Company over the course of the financial year consist of marketing of crude oil and liquified natural gas ("LNG"), trading in crude oil, fuel oil and petroleum products, gas, logistics and chartering and support services to group companies.

HOLDING COMPANY

The holding company is PETRONAS Trading Corporation Sdn. Bhd. ("PETCO"), a company incorporated and domiciled in Malaysia.

The Controlling party is Petroliaam Nasional Berhad ("PETRONAS"), a company incorporated and domiciled in Malaysia. PETRONAS' financial statements are available at www.petronas.com.

DIVIDENDS

No dividend was paid during the financial year and the Directors do not recommend any dividend to be paid for the financial year under review (2024: Nil).

RESERVES AND PROVISIONS

There were no material movements to or from reserves and provisions during the year other than as disclosed in the financial statements.

POLITICAL CONTRIBUTIONS

The Company made no political donations or incurred any political expenditure during the financial year (2024: Nil).

GOING CONCERN

The Directors believe that the Company has considered all available information about the future in its assessment of its ability to continue as a going concern, for at least the next 12 months from the date of signing these financial statements, which includes the following:

- The Company has developed robust strategies and initiatives, translated into its approved business plan for the next five financial years. Together with its cashflow forecast for the next two years from the year ended 31 December 2025, the Company is confident that it will generate sustainable business for the foreseeable future.
- The Company has sufficient and easy access to financial resources which includes undrawn trade finance facilities and letter of credit.
- The Company has term contracts with reputable, creditworthy customers and reliable suppliers across different regions.
- The Company is not aware of any events or conditions that may cast significant doubt about the going concern assumption.

PETCO TRADING (UK) LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025

GOING CONCERN (CONTINUED)

- The Company does not intend to liquidate or cease trading.
- The Company continued to assess the changes in market and price environment in subsequent periods and prepared budget with sensitivity analysis to stress test going concern status of the Company. The details of the assessment are in the Strategic Report on pages 7 to 12 and in Note 1.6 to the financial statements.

Accordingly, the financial statements have been prepared on a going concern basis.

DIRECTORS OF THE COMPANY

Directors who served during the financial year until the date of this report are:

Shamsul Bahari bin Salleh	
Ezran Bin Mahadzir	
Ahmad Rizal Bin Abdul Rahim	(appointed on 13 February 2025)
Dewi Izza Amir	(appointed on 12 January 2026)
Nik Mohsain Nik Ahmad	(appointed on 12 January 2026)
Ahmad Hakimi bin Muhammad Radzi	(resigned on 12 January 2026)
Domenico Nunzio Ciaglia	(resigned on 12 January 2026)
Jazlinawati Binti Osman	(resigned on 12 January 2026)

DIRECTORS' INTERESTS

The Directors in office at the end of the year who have interests and deemed interests in the shares of the Company and of its related corporations other than wholly-owned subsidiaries (including the interests of the spouses and/or children of the Directors who themselves are not Directors of the Company) as recorded in the Register of Directors' are as follows:

Number of shares in PETRONAS Chemicals Group Berhad

Name	Balance at 1.1.2025	Bought	Sold	Balance at 31.12.2025
Directors				
Shamsul Bahari bin Salleh	2,000	-	-	2,000
Ahmad Rizal Bin Abdul Rahim	-	500	-	500

None of the other Directors holding office at 31 December 2025 had any interest in the ordinary shares of the Company and of its related corporations during the financial year.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than the benefit included in the aggregate amount of remuneration received or due and receivable by Directors as shown in Note 21 of the financial statements), by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

There were no arrangements during and at the end of the financial year which had the object of enabling Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

**PETCO TRADING (UK) LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

ISSUE OF SHARES

There were no changes in the issued and paid-up capital of the Company during the financial year.

ENGAGING WITH STAKEHOLDERS

The Directors regularly and actively engaged with the Company's employees, customers, suppliers, shareholders, and other relevant stakeholders to understand relevant stakeholder views. This is to ensure that all decision making is sufficiently informed and is supportive of directors' duties under Section 172 of Companies Act 2006. Further details on how Company's relationship with stakeholders' shapes and influences strategic consideration around issues material to them can be found in the Strategic Report on page 7.

Employees

The Company regards its employees as its most valued asset and puts great emphasis on the wellbeing and morale of the employees. Regular engagement with employees helps the Company understand the areas of importance with regards to the working environment and Company culture. Directors conduct regular face to face engagement sessions with employees to inform them on the latest developments and to hear employees' concerns and suggestions.

Through PETRONAS intranet, employees can access articles by leaders in PETRONAS and Company information.

Customers and suppliers

The Company and relevant Directors proactively and continuously engage with its customers and suppliers through both face to face meetings and digital platforms. Business trips to office locations of key customers and suppliers ensure loyalty and expansion of the Company's business relationships. Directors also regularly participate in industry events to build relationships with new and existing customers and suppliers.

Shareholders

The Company regularly engages with its shareholder, PETCO, with representation at the shareholder's Board of Directors meetings, providing regular updates on business performance, strategies and plans for future years, as well as participating in other regular meetings at the PETRONAS Group headquarters in Kuala Lumpur.

Other stakeholders

The Company also regularly engages with its bankers, government agencies and service providers to provide them with the required regulatory information to comply with laws and regulations. The Company has actively participated in the surveys conducted by the Office of National Statistics during the year.

EVENTS AFTER REPORTING DATE

There were no significant events after the reporting period as disclosed in Note 27 to the financial statements.

**PETCO TRADING (UK) LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

OTHER INFORMATION

In the opinion of the Directors, the financial performance of the Company for the financial year ended 31 December 2025 have not been substantially affected by any item, transaction or event of a material and unusual nature other than the slowdown of market condition combined with strategic decision of the Company resulting in reduced profits, nor has any such item, transaction or event occurred in the interval between the end of that financial year and the date of this report.

The Strategic Report on pages 7 to 12 contains a description of the Company's exposure to principal risks, as well as an outline of its future developments.

In respect of the Directors or past Directors of the Company, the amount of:

- i) fees and other benefits paid to or receivable by them from the Company or its subsidiary companies as remuneration for their services to the Company or its subsidiary companies; and
- ii) the estimated money value of any other benefits received or receivable by them otherwise than in cash from the Company or from any of its subsidiaries; and
- iii) the total of the amount paid to or receivable by any third party in respect of the services provided to the Company or any of its subsidiary companies by any Director or past Director of the Company are disclosed in Note 21.

DISCLOSURE OF INFORMATION TO AUDITOR

The Directors who held office at the date of approval of this Directors' Report confirm that, so far that they are aware, there is no relevant audit information (as defined by Section 418(3) of the Companies Act 2006) of which the Company's auditor is unaware; and each Director has taken all steps that he or she ought to have taken as a Director to make himself or herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

DIRECTORS INDEMNITY PROVISIONS

During the period under review, the Company had in force an indemnity provision in favour of the Directors against liability in respect of proceedings brought by third parties, subject to the conditions set out in Section 234 of the Companies Act 2006. Such qualifying third-party indemnity provision remains in force as at date of approving the Directors' report.

AUDITOR

Pursuant to Section 487 of the Companies Act 2006, in the absence of a notice proposing that the appointment be terminated, KPMG LLP will be deemed to be re-appointed as the Company's auditor and will therefore continue in office.

FUTURE DEVELOPMENTS

Directors have disclosed future developments related to the Company in the Strategic Report.

PETCO TRADING (UK) LIMITED
DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025

STREAMLINED ENERGY AND CARBON REPORTING (SECR)

Details on the Company's UK energy use and associated greenhouse gas emissions are presented below:

	2025	2025	2024	2024
Scope 2 emissions	kWh	Tonnes CO ₂ e	kWh	Tonnes CO ₂ e
Electricity	203,480	43	104,585	22
Gas Combustions	47,780	9	128,020	23
	251,260	52	232,605	45
Intensity ratios				
Tonnes of CO ₂ e per employee		0.9		0.7
Average number of employees		61		64

Electricity and gas emissions relate to energy usage at the UK head office building. The building complies with the ISO 9001:2015 standards and the Company follows the ESOS (Energy Savings Opportunity Scheme) recommendations, where practical. The Company obtained its gas and electricity meter readings and calculated the emissions in accordance with the UK Government Greenhouse Gas Conversion Factors 2025. No particular action taken on energy efficiency.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors:



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 SHAMSUL BAHARI BIN SALLEH
 CHAIRMAN

Registered address:
 60 Ludgate Hill,
 London, EC4M 7AW, United Kingdom

Date: 25 February 2026

PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025

The Directors have the pleasure in submitting their strategic report on the Company for the year ended 31 December 2025.

BUSINESS REVIEW

The Company's financial performance during the year was as follows:

	2025	2024	%
	'000	'000	Change
Oil/products sales and marketing volume (bbl)	40,987	52,312	(22)
LNG and gas sales volume (btu)	-	1,020,023	(100)
	2025	2024	%
	USD'000	USD'000	Change
Revenue	1,017,298	2,161,474	(53)
Net trading income	30,529	39,192	(22)
Gross profit	18,848	40,898	(54)
Profit for the year	59	18,510	(100)
	31.12.2025	31.12.2024	%
	USD'000	USD'000	Change
Total assets	497,645	479,470	4
Total equity	52,366	52,307	0
Current assets as % of current liabilities	1.1:1	1.1:1	
Average number of employees	61	64	

In 2025, Organization of the Petroleum Exporting Countries Plus ("OPEC+") maintained strategic production management but increasing supply from non OPEC+ players resulted in downward price pressure. Market swung between tight fundamentals and ambiguous supply outlook and on geopolitical tension which possess supply risks. Demand indicators across the Company key trading corridors also showed signs of moderation: Organisation for Economic Co-operation and Development ("OECD") consumption weakened in the second half of the year, while China, the U.S., and Europe posted demand slowdowns, though emerging markets remained bright spots.

The market softness translated into tighter margins and greater sensitivity to regional arbitrage dynamic. Global inventories rose sharply through 2025, driven by record U.S. production and increased floating storage. The trading conditions for the Company were shaped by a crude market that gradually softened through the year despite intermittent geopolitical spikes and afore mentioned demand supply challenges. Overall the Company navigated a year in which oversupply, tempered demand, and evolving trade routes required disciplined risk management and agile positioning across crude and product exposures.

Effective 1 January 2025, PETRONAS, in its strategic move, revised the operating model between the Company and LNG Investment Europe Limited ("LIEL"). As a result, a new Service Level Agreement ("SLA") was entered whereby the Company acts as an agent on behalf of LIEL for sales and purchases of LNG trading and its related activities as opposed to principal in prior years and charges SLA fees for these services. This change resulted in reduction of revenue and cost of revenue in 2025 as LNG trades are no longer recorded on gross basis.

**PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

BUSINESS REVIEW (CONTINUED)

Overall the softened markets impacted Company's yearend results achieving a reduced profit of USD0.06 million (2024: USD18.51). Total assets as at 31 December 2025 stood at USD497.7 million, higher than prior year by 4% mainly driven by increase in current assets at the year-end.

The Company continues to implement its core strategies in:

- monetising and optimising PETRONAS assets in West of Suez;
- expanding its marine fuels business; and
- sourcing and optimisation of feedstock to PETRONAS refineries.

The Company continued to achieve optimal value for PETRONAS's foreign equity crude, developing relationships with key players in the market in collaboration with PETRONAS's Upstream division. In particular, the Company actively collaborated with PETRONAS entities in Brazil, Argentina and Turkmenistan to seek potential trading and marketing opportunities in the coming years.

SECTION 172 OF THE COMPANIES ACT 2006

The Directors are required to act in a manner which complies with their duties as set out in the UK Companies Act 2006. The Directors must act in accordance with a set of general duties as detailed Section 172 of the Companies Act 2006 which is summarised as follows:

A Director of a company must act in the way he considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- a. the likely consequences of any decision in the long term,
- b. the interests of the Company's employees,
- c. the need to foster the Company's business relationships with suppliers, customers and others,
- d. the impact of the Company's operations on the community and the environment,
- e. the desirability of the Company maintaining a reputation for high standards of business conduct, and the need to act fairly as between members of the Company.'

The Directors have a duty to promote the success of the Company for the benefit of the stakeholders as a whole and have regard to the interests of the stakeholders in their decision making. The values of the Directors and the stewardship of the Company are aligned with those of the PETRONAS Group.

As outlined in the sections below for 'Principal Risks' of the Strategic Report, the Directors of the Company has put in place various risk management measures to protect the Company and those stakeholders who depend on it.

Principal decision

We define principal decisions taken by the Board as those decisions in the financial year that are of a strategic nature and/or that are significant to any of our key stakeholder groups identified in section below for 'Engaging with Stakeholders' of the Strategic Report. The principal decision made by the Board was that the Company's employees continue to operate on a hybrid working arrangement as standard. This explains how the Directors have engaged with, or in relation to, the different key stakeholder groups, and how stakeholder interests were considered over the course of decision-making.

**PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

SECTION 172 OF THE COMPANIES ACT 2006 (CONTINUED)

The Directors consider that they have acted in accordance with their duties under Section 172 in the decisions taken during the year ended 31 December 2025. The level of information disclosed on the principal decisions above is consistent with the size and complexity of the business. We describe how stakeholders were considered during the decision-making process by summarising the relevant discussions. The relevance of each stakeholder group's interests may differ depending on the nature of decisions being considered. Board decisions will not necessarily result in a positive outcome for all our stakeholders, but by considering our purpose, values and business objectives, and having due regard for stakeholder relationships, the Board aims to ensure that its decisions promote the long-term success of the Company.

ENGAGING WITH STAKEHOLDERS

Effective and high-quality engagement with stakeholders is vital for the success of the Company. Therefore, the Company regularly engages with employees, customers, suppliers, shareholders, and other relevant stakeholders. Effective engagement with key stakeholders enables two-way dialogue, stakeholders are informed on a regular basis on Company's key activities and strategies which may potentially impact them, and Company obtains valuable information from key stakeholders which helps to shape Company's plans and strategies to ensure sustainability and future growth of the Company.

Senior leaders of the Company regularly participate in virtual meetings with clients, industry events and conferences. By carefully listening to the concerns of key stakeholders, the Company could successfully deliver bespoke solutions to its customers and improved the way it works with its customers, which serves as an invaluable differentiating factor in the competitive market.

FUTURE DEVELOPMENTS

The Company is committed to contributing a sustainable growth through directing its efforts in expanding and establishing a niche trading portfolio and trading for PETRONAS's requirements. By leveraging on its resources and human talent, the Company strives to deliver profitable business expansion.

PRINCIPAL RISKS

It is the Company's culture to uphold good corporate governance and institutionalise distinctive risk management capability to continuously enhance its operational excellence for sustainable business.

The Company's risk management system is governed by its ultimate holding company's centralised risk management control and framework. The risk management system dynamically monitors, and controls exposed risk faced by the Company. The risks are described as follows:

Commodity price risk

The Company faces the probability of financial loss due to the volatility of commodity prices for crude oil, petroleum products, fuel oil, LNG and gas as well as financial instruments.

Credit risk

The Company has exposure to financial loss from failure of counterparties to make payments for the crude oil, fuel oil and petroleum products, LNG and gas delivered.

**PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

PRINCIPAL RISKS (CONTINUED)

Operational control risk

The Company is subject to operational control risk around its normal course of business activities. Deficiencies in information systems, breaches of internal controls, human errors, management failure, operational problems, fraud or geopolitical instability could lead to disruption of business, financial loss, regulatory intervention or damaged reputation.

Inventory risk

The Company is potentially exposed to physical loss of inventories and decrease in value of its inventories due to commodity price movements.

Performance risk

Performance risk is the potential exposure of the Company to financial loss arising from failure of counterparties to perform their contractual obligations.

Basis risk

This is the potential financial loss arising from different pricing terms on hedging strategy for sale and purchase of crude oil, fuel oil, petroleum products, LNG and gas.

To help mitigate the effect of these risks and uncertainties, the Company:

- regularly reviews trading conditions to be able to respond quickly to changes in market conditions;
- continuously monitors market dynamics and where possible updates commercial margins;
- continuously monitors customers credit exposure to minimise credit losses;
- applies procedures and controls to manage compliance and operational risks, including adhering to a strict internal control framework;
- adopts appropriate financial strategies to manage exposure to foreign exchange risk, commodity price risk, basis risk; and
- regularly monitors trading and maintaining close relationships with key players in the market in collaboration with PETRONAS to achieve optimal value for the group.

Customers

The Company's customers continue to trade and have access to our products by taking or receiving products as usual at oil, gas and LNG terminals and via oil and LNG tankers. Majority of Company's customers are PETRONAS group subsidiaries and major oil and gas players.

The Company has not faced any issues regarding its receivables and customers have been paying as per the contractual due dates. The Company manages its credit risk as per the PETRONAS Credit Risk guidelines and minimises credit risk by ensuring that all potential third-party counterparties are assessed prior to registration and entering new contracts. Existing third-party counterparties are also subject to regular reviews, including re-appraisal and approval of granted limits. These limits are reviewed when there is a change in market environment. Before entering any new deal with customers, the Company reviews the current credit limit. Majority of sales are with related parties, which are less subject to credit risk. Majority of the sales to third parties are usually on secured basis. Therefore, changes in market environment due to Russia-Ukraine war will not have adverse impact in terms of credit risk.

**PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

PRINCIPAL RISKS (CONTINUED)

Supply chain

The Company's suppliers continue to operate and have no restrictions in delivering products purchased by the Company as usual at oil, gas and LNG terminals and via oil and LNG tankers. The Company has a diverse base of suppliers including supplies that are generated from other PETRONAS group subsidiaries, whose ability to supply the required crude oil, petroleum products, gas and LNG to the Company have not been significantly impacted by Russia-Ukraine war. Therefore, there is a minimal potential risk of supply chain disruption for the Company arising from current market conditions. In addition, there has been no disruption to Company's trading operations from the service providers such as freight/shipping, inspection, and other relevant services.

Employees

The Company's employees have been working on a hybrid home and office arrangement since September 2021. All employees can work from home without any restrictions or interruptions and have been delivering their duties without any issues or delays. The Company can continue for an undefined period of time with employees working remotely.

Financing

The Company's ability to obtain financing. The Company's banks confirmed their readiness to support the Company with its financing needs as per the existing facilities. The Company does not have any long-term borrowings and only borrows short-term trade loans to finance the trade purchases.

The Company buys the needed products only after identifying the sales of ready products, which minimise the exposure from the liquidity risk.

Industry risk factor

Oil, LNG and Petroleum product prices are subject to international supply and demand and margins can be volatile. Political developments, increased supply from new oil or alternative sources, technical change, global economical condition can impact supply and demand and prices for our products.

Challenges

In 2025, the trading conditions for the Company were shaped by a crude market that gradually softened through the year despite intermittent geopolitical spikes. OPEC+ maintained strategic production management, but increasing supply from non OPEC+ players kept overall balances loose, leading to downward price pressure. Demand indicators across the Company key trading corridors also showed signs of moderation: OECD consumption weakened in the second half of the year, while China, the U.S., and Europe posted demand slowdowns, though emerging markets remained bright spots.

The market softness translated into tighter margins and greater sensitivity to regional arbitrage dynamic. Global inventories rose sharply through 2025, driven by record U.S. production and increased floating storage. Overall the Company navigated a year in which oversupply, tempered demand, and evolving trade routes required disciplined risk management and agile positioning across crude and product exposures.

**PETCO TRADING (UK) LIMITED
STRATEGIC REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

PRINCIPAL RISKS (CONTINUED)

The Company continues to monitor the political and economic events and forecasts to manage any potential impacts to its business including its employees.

Information on financial instruments and financial risk factors is explained in Note 22.

Going concern

Directors of the Company continue to adopt the going concern basis in preparing the financial statements (details noted in the Directors' Report).

Approved by the Board of Directors and signed on its behalf in accordance with a resolution of the Directors:



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SHAMSUL BAHARI BIN SALLEH

CHAIRMAN

Date: 25 February 2026

PETCO TRADING (UK) LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE YEAR ENDED 31 DECEMBER 2025

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK-adopted international accounting standards and applicable law.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable, relevant and reliable;
- state whether they have been prepared in accordance with UK-adopted international accounting standards;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Approved by the Board of Directors and signed on its behalf in accordance with a resolution of the Directors:



.....
SHAMSUL BAHARI BIN SALLEH
CHAIRMAN

Registered address:
60 Ludgate Hill,
London, EC4M 7AW, United Kingdom

Date: 25 February 2026

**PETCO TRADING (UK) LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF PETCO TRADING (UK) LIMITED

Opinion

We have audited the financial statements of Petco Trading (UK) Ltd. ("the Company") for the year ended 31st December 2025 which comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows, and related notes, including the accounting policies information.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2025 and of its profit for the year then ended;
- have been properly prepared in accordance with UK-adopted international accounting standards; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for 12 months from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

**PETCO TRADING (UK) LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF PETCO TRADING (UK) LIMITED (continued)

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud (“fraud risks”) we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Company’s high-level policies and procedures to prevent and detect fraud, including the internal audit function, and the Company’s channel for “whistleblowing”, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes
- Considering remuneration incentive schemes and performance targets for management and traders.
- Using analytical procedures to identify any unusual or unexpected relationships.
- Consultation with our own forensic professionals regarding the identified fraud risk factors. This involved the forensic professionals attending the Risk Assessment and Planning Discussion.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet sales targets and our overall knowledge of the control environment, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition due to the non-complex nature of revenue, clear definition of performance obligations and limited incentives to misstate revenue.

We did not identify any additional fraud risks.

We also performed procedures including:

- Identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These included entries posted with unusual pairings to revenue, cash and borrowings accounts, to seldom used accounts, by unauthorized users and those containing high risk key words determined by the audit team.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and management (as required by auditing standards), and discussed with the directors management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation, and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

**PETCO TRADING (UK) LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF PETCO TRADING (UK) LIMITED (continued)

Fraud and breaches of laws and regulations – ability to detect (continued)

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, data protection laws, anti-bribery, employment law, Economic Crime and Corporate Transparency Act (ECCT), UK Market Abuse Regulation, UK MiFID requirements. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

**PETCO TRADING (UK) LIMITED
INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2025**

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF PETCO TRADING (UK) LIMITED (continued)

Directors' responsibilities

As explained more fully in their statement set out on page 13, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

M. Smith

Mark Smith (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
58 Clarendon Road
Watford
WD17 1DE

Date: 27 February 2026

PETCO TRADING (UK) LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

		31.12.2025	31.12.2024
	Note	USD'000	USD'000
ASSETS			
Property, plant and equipment	3	19,409	19,165
Deferred tax assets	4	468	-
Derivative assets	12	697	-
TOTAL NON-CURRENT ASSETS		20,574	19,165
Inventories	6	67,958	11,957
Trade and other receivables	7.1	302,134	303,056
Net investment in lease	7.2	-	9,454
Tax recoverable		274	596
Derivative assets	12	9,247	22,555
Cash and cash equivalents	8	97,458	112,687
TOTAL CURRENT ASSETS		477,071	460,305
TOTAL ASSETS		497,645	479,470
EQUITY			
Share capital	9	146	146
Merger reserve	9	76	76
Retained earnings		52,144	52,085
TOTAL EQUITY		52,366	52,307
LIABILITIES			
Lease liabilities	5	9,624	9,247
Derivative liabilities	12	697	-
Provision and other payables	13	640	-
TOTAL NON-CURRENT LIABILITIES		10,961	9,247
Trade and other payables	10	413,609	374,463
Lease liabilities	5	10,436	19,167
Borrowings	11	2,645	-
Derivative liabilities	12	7,568	24,286
Provision and other payables	13	60	-
TOTAL CURRENT LIABILITIES		434,318	417,916
TOTAL LIABILITIES		445,279	427,163
TOTAL EQUITY AND LIABILITIES		497,645	479,470

The financial statements were approved by the Board of Directors on 25 February 2026 and signed on its behalf by:



SHAMSUL BAHARI BIN SALLEH
CHAIRMAN

PETCO TRADING (UK) LIMITED (Registered No. 06695912)

The notes set out on pages 22 to 71 are an integral part of these financial statements.

PETCO TRADING (UK) LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

	Note	2025 USD'000	2024 USD'000
Revenue	14	1,017,298	2,161,474
Net trading income	15*	30,529	39,192
Cost of revenue	15*	<u>(1,028,979)</u>	<u>(2,159,768)</u>
Gross profit		18,848	40,898
Administration expenses		(25,093)	(32,442)
Finance income		1,239	2,953
Other income	16	<u>6,174</u>	<u>7,848</u>
Operating profit		1,168	19,257
Finance costs	5	<u>(1,445)</u>	<u>(993)</u>
(Loss)/Profit before taxation	17	(277)	18,264
Tax credit	20	<u>336</u>	<u>246</u>
Profit for the year		<u>59</u>	<u>18,510</u>
TOTAL COMPREHENSIVE PROFIT FOR THE YEAR		<u>59</u>	<u>18,510</u>

* Information provided in Note 15 includes a non-GAAP measure that management deems relevant for understanding of the Financial Statements.

There were no other gains or losses for the financial year other than the profit for the year as reported above.

PETCO TRADING (UK) LIMITED (Registered No. 06695912)

The notes set out on pages 22 to 71 are an integral part of these financial statements.

PETCO TRADING (UK) LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

	<i>Non-Distributable</i>		<i>Distributable</i>	
	Share Capital	Merger Reserve	Retained Earnings	Total Equity
	USD'000	USD'000	USD'000	USD'000
Balance at 1 January 2024	146	76	33,575	33,797
Profit for the year, representing total comprehensive income for the year	-	-	18,510	18,510
Balance at 31 December 2024	146	76	52,085	52,307
Balance at 1 January 2025	146	76	52,085	52,307
Profit for the year, representing total comprehensive income for the year	-	-	59	59
Balance at 31 December 2025	146	76	52,144	52,366

The notes set out on pages 22 to 71 are an integral part of these financial statements.

PETCO TRADING (UK) LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

	Note	2025 USD'000	2024 USD'000
CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss)/Profit before taxation		(277)	18,264
<i>Adjustments for:</i>			
Depreciation	3	10,866	1,743
Net impairment losses on trade and other receivables	17	310	-
Finance income		(1,239)	(2,953)
Finance costs	17	1,466	4,227
Unrealised gain on foreign exchange	17	(1,064)	(410)
Unrealised(gain)/loss on derivatives	17	(3,409)	16,878
Operating profit before changes in working capital:		6,653	37,749
Decrease/(Increase) in trade and other receivables		10,264	(36,737)
Increase in trade and other payables		39,100	114,078
(Increase) in inventories		(56,001)	(11,957)
Cash generated from operations		16	103,133
Tax refunded		190	-
Net cash flows generated from operating activities		206	103,133
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital expenditure	3	(419)	(11)
Finance income received		1,239	2,953
Net cash flows generated from investing activities		820	2,942
CASH FLOWS FROM FINANCING ACTIVITIES			
Drawdown of trade loans	11	106,048	311,258
Repayment of trade loans	11	(103,403)	(311,258)
Interest paid on trade loans		(55)	(3,234)
Repayment of lease liability	5	(18,540)	(11,229)
Interest paid on lease liability	5	(1,411)	(993)
Issuance of financial guarantee	13	240	-
Net cash flows used in financing activities		(17,121)	(15,456)
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(16,095)	90,619
Net foreign exchange difference on cash and cash equivalents		866	1,128
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR		112,687	20,940
CASH AND CASH EQUIVALENTS AT END OF THE YEAR	8	97,458	112,687

The notes set out on pages 22 to 71 are an integral part of these financial statements.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

1. BASIS OF PREPARATION

1.1 Reporting entity

PETCO Trading (UK) Limited, privately owned limited company, is incorporated and domiciled in the United Kingdom. The Company's registered office is 60, Ludgate Hill, London, EC4M 7AW, United Kingdom. The Company is primarily involved in marketing of crude oil, fuel oil blending and trading in crude oil, petroleum products, gas and LNG, logistics and chartering and support services to group companies.

1.2 Statement of compliance

The financial statements of the Company have been prepared in accordance with UK-adopted international accounting standards.

As of 1 January 2025, the Company had adopted amendments to IFRS that have been issued by the International Accounting Standard Board ("IASB") as described fully in Note 25.

The adoption of these pronouncements does not have any material impact to the financial statements of the Company.

IASB has also issued new and revised pronouncements which are not yet effective for the Company and therefore, have not been adopted for in these financial statements. These pronouncements including their impact on the financial statements in the period of initial application are set out in Note 26.

The financial statements were approved and authorised for issue by the Board of Directors on
25 February 2026

1.3 Basis of measurement

The financial statements of the Company have been prepared on historical cost basis except for certain items are measured at fair value as disclosed in the accounting policies below.

1.4 Functional and presentation currency

The financial statements of the Company are measured using the currency of the primary economic environment in which the entity operates ("the functional currency").

The Company's financial statements are presented in United States Dollar (USD), which is also the Company's functional currency.

All financial information is presented in USD and has been rounded to the nearest thousand, unless otherwise stated.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

1. BASIS OF PREPARATION (CONTINUED)

1.5 Use of estimates and judgments

The preparation of financial statements in conformity with IFRS requires the Company to make judgements, estimates and assumptions that affect the application of the Company's accounting policies with respect to the carrying amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the reporting period.

Significant judgments

Significant judgements are those made by the Company when applying its accounting policies that are considered to have the most significant impact on amount recognised in financial statement. Those judgements that are considered to have most significant impact on amounts recognised in the financial statements are described in:

1. Note 4: Deferred tax;
2. Note 12: Derivatives;
3. Note 13: Provision;
4. Note 14: Revenue;
5. Note 22: Financial instruments.

The key estimate made for derivatives is the determination of the fair value of the derivative assets and liabilities. All fair values for derivatives are level 1 and level 2 in the hierarchy. The key estimate made for the inventories is the estimation of the net realisable value of the inventories.

1.6 Going Concern

The Directors believe that the Company has considered all available information about the future in its assessment of its ability to continue as a going concern, for at least the next 12 months from the date of signing, which includes the following:

- During the year, the Company made a profit of USD0.06 million (31 December 2024: USD18.5 million). At the balance sheet date, it held net assets of USD52.4 million (31 December 2024: USD52.3 million). The Company's cash balances as at 31 December 2025 stood at USD97.5 million (31 December 2024: USD112.7 million).
- The Company has developed robust strategies and initiatives, translated into its approved business plan for the next five financial years. Together with its cashflow forecast for the next two years from the year ended 31 December 2025, the Company is confident that it will generate sustainable business for the foreseeable future. The Company fully hedges its positions, hence mitigating its exposure to any adverse market price movements.
- The Company has sufficient and easy access to financial resources to cover its working capital requirements which includes undrawn trade finance facilities and letter of credit from reputable banks.
- The Company does not have long term loans and other commitments.
- The Company has term contracts with reputable, creditworthy customers and reliable suppliers across different regions.
- The Company is not aware of any events or conditions that may cast significant doubt about the going concern assumption.
- The Company does not intend to liquidate or cease trading.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

1. BASIS OF PREPARATION (CONTINUED)

1.6 Going concern (Continued)

- The Company assessed the potential impact of oil price environment in subsequent periods on Company's operations. The details of the assessment are in the Strategic Report on pages 7 to 12. Directors believe that company's ability to continue as going concern is not impacted by current economic environment.

Having reviewed the future cash flow forecasts of the Company in the light of the on going Russia-Ukraine war and the recent developments in the international oil, and in consideration of the current financial condition of the Company, the Directors have concluded that the Company will continue to have sufficient funds in order to meet its obligations as they fall due for at least 12 months from the approval of the financial statements and thus continue to adopt the going concern basis of accounting in preparing the annual financial statements.

The Directors have also considered the sensitivity of cash flow forecasts under a variety of severe but plausible scenarios that may arise as a result of the Russia-Ukraine war pandemic and oil market challenges.

Included in these are:

1. 100% reduction in Crude trading
2. 50% reduction of Products trading
3. 80% reduction of Fuel Oil trading

Cash flow projections in each severe but plausible scenario also suggest that the Company will continue to be a going concern for at least the 12 months from the approval of the financial statements.

Accordingly, the financial statements have been prepared on a going concern basis.

2. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements, unless otherwise stated.

2.1 Property, plant and equipment and depreciation

Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated any impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the assets and any other costs directly attributable to bringing the assets to working condition for their intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

When significant components of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.1 Property, plant and equipment and depreciation (continued)

Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the component will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced item of property, plant and equipment is derecognised with any corresponding gain or loss recognised in the profit or loss accordingly. The costs of the day-to-day servicing of property, plant and equipment are recognised in the profit or loss as incurred.

Depreciation

Depreciation for property, plant and equipment is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Property, plant and equipment are not depreciated until the assets are ready for their intended use.

The estimated useful lives of the other property, plant and equipment are as follows:

- Office equipment, furniture, and fittings 1 - 10 years
- Computer software and hardware 1 - 3 years
- Lease properties (right-of-use) 10 years
- Vessels (right-of-use) 2 years

The depreciable amount is determined after deducting residual value. The residual value, useful life and depreciation method are reviewed at each financial year end to ensure that the amount, period and method of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of property, plant and equipment.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Derecognition

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any, and the net carrying amount is recognised in the profit or loss.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.2 Leases

(i) Definition of a lease (continued)

A contract is, or contains, a lease if the contract conveys a right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assess whether:

- the contract involves the use of an identified asset – this may be specified explicitly or implicitly and should be physically distinct or represent substantially all the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the customer has the right to obtain substantially all the economic benefits from use of the asset throughout the period of use; and
- the customer has the right to direct the use of the asset when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. The customer has the right to direct the use of the asset if either the customer has the right to operate the asset; or the customer designed the asset in a way that predetermines how and for what purpose it will be used throughout the period of use.

At inception or on reassessment of a contract that contains a lease component, the Company allocate the consideration in the contract to each lease and non-lease component based on their relative stand-alone prices.

(ii) Recognition and initial measurement

(a) As a lessee

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate is used. Generally, the Company use their incremental borrowing rate as the discount rate.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.2 Leases (continued)

(iii) Recognition and initial measurement (continued)

(a) As a lessee (continued)

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee;
- the exercise price under a purchase option that the Company are reasonably certain to exercise; and
- penalties for early termination of a lease unless the Company are reasonably certain not to early terminate the contract.

The Company excludes variable lease payments that linked to future performance or usage of the underlying asset from the lease liability. Instead, these payments are recognised in profit or loss in the period in which the performance or use occurs. The Company assesses at lease commencement whether it is reasonably certain to exercise the extension options in determining the lease term. The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets. The Company recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(b) As a lessor

When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease. To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. If an arrangement contains lease and non-lease components, the Company applies IFRS 15 Revenue from Contracts with Customers to allocate the consideration in the contract based on the stand-alone selling price. The Company recognises assets held under a finance lease in its statement of financial position and presents them as a receivable at an amount equal to the net investment in the lease. The Company uses the interest rate implicit in the lease to measure the net investment in the lease. When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.2 Leases (continued)

(iii) Subsequent measurement

(a) As a lessee

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Depreciation of certain right-of-use assets are subsequently capitalised into carrying amount of other assets whenever they meet the criteria for capitalisation. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a revision of in-substance fixed lease payments, or if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, or if the Company changes its assessment of whether it will exercise a purchase, extension or termination option. The Company will reassess whether it is reasonably certain to exercise the extension option if there is a significant change in circumstances within its control.

When the lease liability is remeasured as described in the above paragraph, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.2 Leases (continued)

(iii) Subsequent measurement (continued)

(b) As a lessor

When there is lease modification due to increase in the scope of lease by adding the right-to-use one or more underlying assets, the Company assesses whether the lease modification shall be accounted for as a separate lease or similar to reassessment of lease liability. The Company accounts for lease modification as a separate lease when the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments.

When there is lease modification due to decrease in scope, the Company decreases the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease. The corresponding gain or loss shall be recognised in profit or loss. Lease liabilities are remeasured for all other lease modifications with corresponding adjustments to the right-of-use asset.

The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of "revenue". The Company recognises finance income over the lease term, based on a pattern reflecting a constant periodic rate of return on the Company's net investment in the lease. The Company aims to allocate finance income over the lease term on a systematic and rational basis. The Company applies the lease payments relating to the period against the gross investment in the lease to reduce both the principal and the unearned finance income. The net investment in the lease is subject to impairment requirements in IFRS 9 Financial Instruments.

2.3 Financial instruments

Recognition and initial measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

Regular way purchases or sales were recognised on the trade date i.e. the date that the Company commits to purchase or sell the financial asset.

A financial asset (unless it is a receivable without a significant financing component) or a financial liability is initially measured at fair value plus or minus, in the case of a financial instrument not at fair value through profit or loss, any directly attributable transaction costs incurred at the acquisition or issuance of the financial instrument. A trade receivable that does not contain a significant financing component is initially measured at the transaction price.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.3 Financial instruments (continued)

Classification and subsequent measurement (continued)

(i) Financial assets (continued)

Financial assets are classified as measured at: amortised cost, fair value through other comprehensive income ("FVOCI") and fair value through profit or loss ("FVTPL"), as appropriate.

The Company determines the classification of financial assets at initial recognition and are not reclassified subsequently to their initial recognition unless the Company changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the next reporting period after the change of the business model.

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss.

Subsequent measurement

Subsequent to initial recognition, these financial assets are measured at amortised cost using the effective interest method (Note 2.3.(v)). Interest income and foreign exchange gains and losses are recognised in profit or loss.

Fair value through other comprehensive income

Debt instruments

This category comprises debt instruments where it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The debt instruments are not designated as at fair value through profit or loss.

Equity instruments

Fair value through other comprehensive income category also comprises investment in equity that are not held for trading, and the Company irrevocably elects to present subsequent changes in the investment's fair value in other comprehensive income. This election is made on an investment-by-investment basis.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.3 Financial instruments (continued)

Classification and subsequent measurement (continued)

(i) Financial assets (continued)

Fair value through other comprehensive income (continued)

Subsequent measurement

Financial assets categorised as fair value through other comprehensive income are subsequently measured at fair value with unrealised gains and losses recognised directly in other comprehensive income and accumulated under fair value through other comprehensive income reserve in equity. For debt instruments, when the investment is derecognised or determined to be impaired, the cumulative gain or loss previously recorded in equity is reclassified to the profit or loss. For equity instruments, the gains or losses accumulated in other comprehensive income are never reclassified to profit or loss.

Financial assets at fair value through profit or loss

All financial assets not classified as measured at amortised cost or fair value through other comprehensive income as described above are measured at fair value through profit or loss. This includes derivative financial assets (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument).

On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at fair value through other comprehensive income as at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent measurement

Financial assets categorised as fair value through profit or loss are subsequently measured at their fair value with gains or losses recognised in the profit or loss. The methods used to measure fair value are stated in Note 2.14.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.3 Financial instruments (continued)

Classification and subsequent measurement (continued)

(ii) Financial liabilities

The categories of financial liabilities at initial recognition are as follows:

Financial liabilities at fair value through profit or loss

Fair value through profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument), liabilities that are classified as held-for trading and financial liabilities that are specifically designated into this category upon initial recognition. On initial recognition, the Company may irrevocably designate a financial liability that otherwise meets the requirements to be measured at amortised cost as at fair value through profit or loss:

- a) if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise;
- b) a group of financial liabilities or assets and financial liabilities is managed, and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about the group is provided internally on that basis to the Company's key management personnel; or
- c) if a contract contains one or more embedded derivatives and the host is not a financial asset in the scope of IFRS 9, where the embedded derivative significantly modifies the cash flows and separation is not prohibited.

Financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair value with gains or losses, including any interest expense are recognised in the profit or loss.

For financial liabilities where it is designated as fair value through profit or loss upon initial recognition, the Company recognises the amount of change in fair value of the financial liability that is attributable to change in credit risk in the other comprehensive income and remaining amount of the change in fair value in the profit or loss, unless the treatment of the effects of changes in the liability's credit risk would create or enlarge an accounting mismatch.

Amortised cost

Subsequent to initial recognition, other financial liabilities are subsequently measured at amortised cost using the effective interest method (see Note 2.3. (iv)). Gains and losses are recognised in the profit or loss when the liabilities are derecognised as well as through the amortisation process.

(iii) Financial guarantee contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.3 Financial instruments (continued)

(iii) Financial guarantee contracts (continued)

Financial guarantees issued are initially measured at fair value. Subsequently, they are measured at higher of:

- the amount of the loss allowance; and
- the amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance to the principles of *IFRS 15 Revenue from Contracts with Customers*.

Liabilities arising from financial guarantees are presented together with other provisions.

(iv) Derivative financial instruments

The Company uses derivative financial instruments such as swaps, forward and futures to manage certain exposures to fluctuations in commodity prices.

Derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Any gains or losses arising from changes in fair value on derivatives during the year are recognised in the profit or loss.

In general, contracts to sell or purchase non-financial items to meet expected own use requirements are not accounted for as financial instruments. However, contracts to sell or purchase commodities that can be net settled or which contain written options are required to be recognised at fair value, with gains and losses recognised in the profit or loss.

(v) Effective interest method

Amortised cost was computed using the effective interest method. This method used effective interest rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument to the net carrying amount of the financial instrument. Amortised cost considers any transaction costs and any discount or premium on settlement.

(vi) Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount is reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

(vii) Amortised cost of financial instruments

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets (see Note 2.3 (v)) where effective interest rate is applied to the amortised cost.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.3 Financial instruments (continued)

(viii) Derecognition of financial instruments (continued)

A financial asset is derecognised when the rights to receive cash flows from the asset have expired or, the Company has transferred their rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a “pass-through” arrangement without retaining control of the asset or substantially all the risks and rewards of the asset. On derecognition of a financial asset, the difference between the carrying amount and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in equity is recognised in the profit or loss, except for equity investments at fair value through other comprehensive income where the gain or loss are recognised in other comprehensive income.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. On derecognition of a financial liability, the difference between the carrying amount of the financial liabilities extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in the profit or loss. In the case of waiver of debt from owners, the gain is recognised in equity as capital reserve.

2.4 Impairment

(i) Financial assets

The Company recognises loss allowances for expected credit losses (“ECL”) on financial assets measured at amortised cost and contract assets using the simplified approach permitted by IFRS 9. The Company measures loss allowances at an amount equal to lifetime ECL, except for debt securities that are determined to have low credit risk at the reporting date, other debt securities for which credit risk has not increased significantly since initial recognition and finance lease receivables, which are measured as 12-month ECL. Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECL.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECL, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company’s historical experience and informed credit assessment and including forward-looking information, where available.

The Company assumes that the credit risk on a financial asset has increased significantly if it is past due.

The Company considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security.

Lifetime ECL are the ECL that result from all possible default events over the expected life of a financial instrument, while 12-month ECL are the portion of ECL that result from default events that are possible within the 12 months after the reporting date.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.4 Impairment (continued)

(i) Financial assets (continued)

The maximum period considered when estimating ECL is the maximum contractual period over which the Company is exposed to credit risk.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced using an allowance account.

All financial assets, except for those measured at fair value through profit or loss and equity investments measured at fair value through other comprehensive income, are subject to impairment (see Note 2.3. (i)).

(ii) Other assets

The carrying amounts of other assets, other than inventories, deferred tax assets and non-current assets or disposal groups classified as held for sale, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or the cash-generating unit to which it belongs exceeds its recoverable amount. Impairment losses are recognised in the profit or loss.

A cash-generating unit is the smallest identifiable asset group that generates cash flows from continuing use that are largely independent from other assets and groups. An impairment loss recognised in respect of a cash-generating unit is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro-rata basis.

The recoverable amount is the greater of the asset's fair value less cost to sell and its value-in-use. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Reversals of impairment losses are credited to the profit or loss in the year in which the reversals are recognised.

2.5 Cash and cash equivalents

Cash and cash equivalents consist of cash on hand and bank balances which have an insignificant risk of changes in fair value and are used by the Company in the management of their short-term commitments. For the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts and restricted deposits, if any.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.6 Inventories

Inventories are stated at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

Cost of goods in transit includes the purchase price and other cost directly attributable to the acquisition of the goods, less trade discounts, rebates and other similar items.

Cost of raw materials and petroleum products includes crude oil costs, export duty, transportation charges and processing costs and is determined on a weighted average basis.

2.7 Provisions

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future net cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. Where discounting is used, the accretion in the provision due to the passage of time is recognised as finance cost.

The amount recognised as a provision is the best estimate of the expenditure required to settle the present obligation at the reporting date. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Possible obligations whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company, are not recognised in the financial statements but are disclosed as contingent liabilities unless the possibility of an outflow of economic resources is considered remote.

2.8 Employee benefits

(i) Short term benefits

Wages and salaries, bonuses and social security contributions are recognised as an expense in the year in which the associated services are rendered by employees of the Company.

(ii) Defined contribution plans

The Company makes contributions to defined contribution pension schemes. Such contributions are recognised as an expense in the profit or loss as incurred.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.9 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Income tax is recognised in the profit or loss except to the extent it relates to items recognised directly in equity, in which case it is recognised in equity.

(i) Current tax

Current tax expense is the expected tax payable on the taxable income for the year, using the statutory tax rates at the reporting date, and any adjustment to tax payable in respect of previous years.

(ii) Deferred tax

Deferred tax is provided for, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unabsorbed capital allowances, unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unabsorbed capital allowances, unused tax losses and unused tax credits can be utilised.

Deferred tax is measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities where they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously. Deferred tax asset is reviewed at each reporting date and is reduced to the extent that it is no longer probable that future taxable profit will be available against which the related tax benefit can be realised.

Global minimum top-up tax

The Company has adopted International Tax Reform – Pillar Two Model Rules upon its release on 2 June 2023. The amendments introduce a mandatory temporary exception to the accounting for deferred taxes arising from the jurisdictional implementation of the Pillar Two Model Rules as well as disclosure requirements on the exposure to Pillar Two income taxes upon adoption. The application by the respective entity is subject to when the law is being enacted or substantively enacted in the respective country jurisdiction.

The PETRONAS Group has performed a provisional Pillar Two assessment and concluded that the Company's jurisdiction has passed a transitional Country by Country Safe Harbour Test. As such, there will be no adjustment required in the financial statements.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.10 Foreign currency transactions

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are translated to the functional currency at rates of exchange ruling on the transaction dates.

Monetary assets and liabilities denominated in foreign currencies at the reporting date have been retranslated to the functional currency at rates ruling on the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies, which are measured at fair value, are retranslated to the functional currency at the foreign exchange rates ruling at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in foreign currency are not retranslated.

Gains and losses on exchange arising from retranslation are recognised under other income or expense in the profit or loss. Foreign currency gains and losses are reported on a net basis.

2.11 Revenue

Revenue from contracts with customers is measured based on the consideration specified in a contract with a customer and exclude amounts collected on behalf of other parties. The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset.

Revenue arising from shipping activities is mainly from freight income and charter income. Freight income and the relevant discharged costs of cargoes loaded onto vessels up to the reporting date are accrued for in the profit or loss based on percentage of completion method. Charter income is accrued on straight-line basis over the firm period of the contract, as service is performed.

An entity transfers control of a good or service at point in time and, therefore, satisfies a performance obligation and recognises revenue at point in time, if one of the following criteria is met:

- (a) the customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs;
- (b) the entity's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced; or
- (c) the entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

When the Company enters into a physical commodity contract to purchase from a producer and sells the physical commodity to an end user, the Company has deemed that the own use exemption applies and the purchases and sales of these commodities are accounted for under IFRS 15 and presented on a gross basis in Revenue and Cost of sales respectively.

Where the Company acts as agent on behalf of a third party to procure or market energy commodities, any associated fee income is recognised at the point of time as explained in Note 14, but no purchase or sale is recorded.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.12 Net trading income

Net trading income is attributable to the Company's main business. The Company undertakes significant activities which, for the purposes of disclosure in the financial statements of the Company have been classified as 'third party trading'. Third party trading means where the counterparty to the contract is not part of PETRONAS group and the Company is trading with third parties to make gain or loss in market and the commodity is in an active market and therefore can be settled net. In addition to this, when a counterparty to the contract is part of PETRONAS group but is not a producer or end user of the commodity, these contracts are part of trading activities.

Physically settled commodity derivatives that represent third party trading are presented net alongside financially settled derivative contracts in Net trading income.

All commodity derivative financial instruments entered into by the Company are recognised in the financial statements on the date of trade. All open commodity contracts are included at fair value on the balance sheet and unrealised gains and losses are recognised within the Net Trading Income.

2.13 Finance income and finance costs

The Company's finance income and finance costs comprise:

- finance income earned on cash and bank balances and short-term deposit placements; and
- finance cost and other costs incurred in connection with borrowings.

Finance income and finance costs are recognised as and when earned/incurred in the statement of profit or loss.

2.14 Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

(i) Financial instruments

The fair value of financial instruments that are actively traded in organised financial markets are determined by reference to quoted market bid prices at the close of business at the end of reporting date. For financial instruments where there is no active market, fair value is determined using valuation techniques. Such techniques may include using recent arm's length market transactions; reference to the current fair value of another instrument that is substantially the same; discounted cash flow analysis or other valuation models.

(ii) Non-financial assets

For non-financial assets, the fair value measurement considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

**PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.14 Fair value measurements (continued)

(iii) Non-financial assets (continued)

When measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. Fair value is categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1 – Quoted prices (unadjusted) in active markets for identifiable assets or liabilities.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs for the asset or liability that are not based on observable market data (unobservable input).

The fair value of an asset to be transferred between levels is determined as of the date of the event or change in circumstances that caused the transfer. The Company recognises transfers between levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

2.15 Current versus non-current classification

The Company presents assets and liabilities in the statement of financial position based on current/non-current classification. An asset is current when it is:

- Expected to be realised or intended to be sold or consumed in the normal operating cycle
 - Held primarily for the purpose of trading
 - Expected to be realised within twelve months after the reporting period
- Or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
 - It is held primarily for the purpose of trading
 - It is due to be settled within twelve months after the reporting period
- Or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

3. PROPERTY, PLANT AND EQUIPMENT

2025	As at 1.1.2025 USD'000	Additions USD'000	Disposal USD'000	As at 31.12.2025 USD'000
At Cost:				
<u>Own use</u>				
Office equipment, furniture & fittings	229	419	-	648
Computer software and hardware	23	-	-	23
	252	419	-	671
<u>Right-of-use</u>				
Lease vessel	19,662	-	-	19,662
Lease properties	3,928	10,691	(3,928)	10,691
	23,590	10,691	(3,928)	30,353
	23,842	11,110	(3,928)	31,024
2025	As at 1.1.2025 USD'000	Charge for the year USD'000	Disposal USD'000	As at 31.12.2025 USD'000
Accumulated Depreciation:				
<u>Own use</u>				
Office equipment, furniture & fittings	198	31	-	229
Computer software and hardware	23	-	-	23
	221	31	-	252
<u>Right-of-use</u>				
Lease vessel	819	9,831	-	10,650
Lease properties	3,637	1,004	(3,928)	713
	4,456	10,835	(3,928)	11,363
	4,677	10,866	(3,928)	11,615

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

2024	As at 1.1.2024 USD'000	Additions USD'000	Disposal USD'000	As at 31.12.2024 USD'000
At Cost:				
<u>Own use</u>				
Office equipment, furniture & fittings	218	11	-	229
Computer software and hardware	23	-	-	23
	<u>241</u>	<u>11</u>	<u>-</u>	<u>252</u>
<u>Right-of-use</u>				
Lease vessel	-	19,662	-	19,662
Lease properties	3,928	-	-	3,928
	<u>3,928</u>	<u>19,662</u>	<u>-</u>	<u>23,590</u>
	<u>4,169</u>	<u>19,673</u>	<u>-</u>	<u>23,842</u>

2024	As at 1.1.2024 USD'000	Charge for the year USD'000	As at 31.12.2024 USD'000
Accumulated Depreciation:			
<u>Own use</u>			
Office equipment, furniture & fittings	147	51	198
Computer software and hardware	23	-	23
	<u>170</u>	<u>51</u>	<u>221</u>
<u>Right-of-use</u>			
Lease vessel	-	819	819
Lease properties	2,764	873	3,637
	<u>2,764</u>	<u>1,692</u>	<u>4,456</u>
	<u>2,934</u>	<u>1,743</u>	<u>4,677</u>

	As at 31.12.2025 USD'000	As at 31.12.2024 USD'000
Carrying amount:		
<u>Own use</u>		
Office equipment, furniture & fittings	419	31
Computer software and hardware	-	-
	<u>419</u>	<u>31</u>
<u>Right-of-use</u>		
Lease vessel	9,012	18,843
Lease properties	9,978	291
	<u>18,990</u>	<u>19,134</u>
	<u>19,409</u>	<u>19,165</u>

Cost of property, plant and equipment that are fully depreciated and still in use is USD 61k (2024: USD 55k).

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

3.1. As a lessee

Right-of-use assets

Depreciation of right-of-use asset

	2025 USD'000	2024 USD'000
Recognised in profit and loss	10,835	1,692

4. DEFERRED TAX

The components and movements of deferred tax assets and liabilities during the year are as follows:

	As at 1.1.2025 USD'000	Charged to profit or loss USD'000	As at 31.12.2025 USD'000
Deferred tax asset			
Unrealised derivatives loss (Note 20)	-	468	468
TOTAL	-	468	468

	As at 1.1.2024 USD'000	Charged to profit or loss USD'000	As at 31.12.2024 USD'000
Deferred tax liability			
Unrealised derivatives gain (Note 20)	(1,407)	1,407	-
TOTAL	(1,407)	1,407	-

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

5. LEASE LIABILITIES

During the year, the Company entered into a lease contract for the lease of an office building used in its operations which runs up to 2035. The Company's obligations under its lease are secured by the lessor's title to the leased assets. Generally, is restricted from assigning and subleasing the leased assets. The lease was discounted at an incremental borrowing rate of 5.09%.

The Company also entered a two-year lease contract a vessel with third party, which runs up to November 2026 with the lease was discounted at an incremental borrowing rate of 5.21%.

	31.12.2025	31.12.2024
	USD'000	USD'000
As at 1 January	28,414	19,981
Additions	10,186	19,662
Accretion of interest	1,411	993
Payments	(19,951)	(12,222)
As at 31 December	<u>20,060</u>	<u>28,414</u>
Current	10,436	19,167
Non-current	9,624	9,247

6. INVENTORIES

	31.12.2025	31.12.2024
	USD'000	USD'000
Goods in transit	53,316	11,494
Finished goods	-	463
Raw material	14,642	-
	<u>67,958</u>	<u>11,957</u>
Recognised in profit or loss:		
Inventories recognised as cost of sales	<u>987,642</u>	<u>2,095,556</u>

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

7. RECEIVABLES

7.1 TRADE AND OTHER RECEIVABLES

	31.12.2025	31.12.2024
	USD'000	USD'000
Trade		
Trade receivables	166,120	174,116
Amount due from related companies	116,407	92,443
Other receivables	12,970	28,436
Less: Allowance of impairment losses	(310)	-
	<u>295,187</u>	<u>294,995</u>
Non-trade		
Amount due from:		
- Ultimate holding company	6,248	5,255
- Related companies	699	2,806
	<u>6,947</u>	<u>8,061</u>
	<u>302,134</u>	<u>303,056</u>

Other receivables of USD 13 million (2024: USD28 million) mainly include a collateral balance with broker of USD9 million (2024: USD23 million) and VAT receivables of USD4 million (2024: USD4 million).

Total amount of trade receivables balances is USD295 million (2024: USD295 million). Information about the Company's exposure to credit and market risk, and impairment losses for trade receivables is included in Note 22. Amount due from ultimate holding company, immediate holding company and related companies arose in the normal course of business.

7.2 NET INVESTMENT IN LEASE

	31.12.2025	31.12.2024
	USD'000	USD'000
As at 1 January	9,454	18,885
Accretion of interest	301	889
Payments	(9,755)	(10,320)
As at 31 December	<u>-</u>	<u>9,454</u>
Current	-	9,454

8. CASH AND CASH EQUIVALENTS

	31.12.2025	31.12.2024
	USD'000	USD'000
Cash and bank balances	22 <u>97,458</u>	<u>112,687</u>

All cash and bank balances are interest bearing.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

8. CASH AND CASH EQUIVALENTS (CONTINUED)

In 2024, the cash and cash equivalents include short-term deposits with Maybank amounting to USD 32 million with maturity period ranging from 31 to 33 days and interest rate ranging from 4.7% to 5.0% per annum. In 2025, there is no short-term deposit as at balance sheet date.

9. SHARE CAPITAL

	Number of shares		Amount	
	31.12.2025	31.12.2024	31.12.2025 USD	31.12.2024 USD
Authorised:				
Ordinary shares of GBP 1 each	100,000	100,000	146,475	146,475
Redeemable preference shares of GBP 1 each	<u>200,000</u>	<u>200,000</u>	<u>285,370</u>	<u>285,370</u>
Issued and fully paid:				
Ordinary shares of GBP 1 each	<u>100,000</u>	<u>100,000</u>	<u>146,475</u>	<u>146,475</u>

Ordinary shares

Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company.

Redeemable preference shares

The right to rank, as regards to dividends and return on capital, in priority to the ordinary shares. At the option of the Company, all or part of the redeemable preference shares can be redeemed at a premium at any time upon giving notice in writing to the redeemable preference shareholders. These holders do not have voting rights, except for matters affecting the rights and interest of preference shareholders. No redeemable preference shares are issued by the Company.

Dividends

No dividend was paid during the financial year. No dividends have been proposed or declared in respect of current financial year.

Merger reserves

Merger reserves arising from the transfer of LNG and gas business into the Company in 2020.

10. TRADE AND OTHER PAYABLES

	31.12.2025 USD'000	31.12.2024 USD'000
Trade payables	244,441	149,275
Other payables	11,893	17,901
Amount due to:		
- Ultimate holding company	435	632
- Related companies	<u>156,840</u>	<u>206,655</u>
	<u>413,609</u>	<u>374,463</u>

Amount due to ultimate holding company and related companies arose in the normal course of business. Information regarding outstanding balances arising from related party transactions as at 31 December 2025 are disclosed in Note 21.

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11. BORROWINGS

Unsecured trade loans

Unsecured trade loans were borrowed from Standard Chartered Bank, London to finance the fuel oil blending activities.

	31.12.2025	31.12.2024
	USD'000	USD'000
Current		
Unsecured trade loans	2,645	-

The trade loan has 30 days repayment term with the option to roll forward for another two months.

PTUK borrowed the above loans under the below facilities:

Trade finance facility provider	Facility Limit USD'000	Cost of borrowing
Standard Chartered Bank, London	350,000	COF + 0.40%
Citibank, Singapore	140,000	SOFR + 0.75%
MUFG Bank, London	350,000	SOFR+0.5% to 0.73%
HSBC, UK	200,000	SOFR + 0.70%
BBVA	150,000	SOFR + 0.65%

The above trade finance facilities are uncommitted by the lenders and do not have expiry dates.

Reconciliation of movement of liabilities to cash flows arising from financing activities during the year are as follows:

	Trade Loans USD'000	Total USD'000
Balance as at 1 January 2025	-	-
<i>Changes from financing cash flows</i>		
Drawdown	106,048	106,048
Repayment	(103,403)	(103,403)
Total changes from financing cash flows	2,645	2,645
Balance as at 31 December 2025	2,645	2,645
 Balance as at 1 January 2024	 -	 -
<i>Changes from financing cash flows</i>		
Drawdown	311,258	311,258
Repayment	(311,258)	(311,258)
Total changes from financing cash flows	-	-
Balance as at 31 December 2024	-	-

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12. DERIVATIVES

	Note	31.12.2025 USD'000	31.12.2024 USD'000
Derivative assets			
<i>Non-current</i>			
Related party – Commodity derivative	22	697	-
<i>Current</i>			
Commodity derivative contracts		1,724	2,179
Related party – Commodity derivative	22	7,523	20,376
		9,247	22,555
		9,944	22,555
Derivative Liabilities			
<i>Non-current</i>			
Related party – Commodity derivative	22	697	-
<i>Current</i>			
Commodity derivative contracts		3,812	24,286
Related party – Commodity derivative	22	3,756	-
		7,568	24,286
		8,265	24,286

Derivative assets are set off against the derivative liabilities on same currency and financial instrument basis (see Note 22 and Note 23) as contractual arrangements include the right to offset and settlement is intended to occur on a net basis for each currency.

In the normal course of business, the Company enters into derivative financial instruments to manage its normal business exposures in relation to commodity prices, consistent with risk management policies and objectives. The mark to market position of crude oil, fuel oil, petroleum products and gas forwards and futures is based on the fair value difference between forward market price at the date of measurement and the contracted price.

The commodity derivative contracts entered on behalf of LNG Investment Europe Limited ("LIEL") are disclosed separately under related party.

13. PROVISION AND OTHER PAYABLES

	31.12.2025 USD'000	31.12.2024 USD'000
Non-current		
Financial guarantee	180	-
Other payables	460	-
	640	-
Current		
Financial guarantee	60	-
	700	-

The financial guarantee provided relates to a four-year Sale and Purchase Agreement (SPA) entered into during the financial year, under which the Company is the Buyer for a committed volume of crude oil from a third-party Seller. Under this SPA, a bank will make a prepayment directly to the Seller, and the Company has assumed on an unfunded risk participation basis 30% of the risk associated with the Seller's potential default.

**PETCO TRADING (UK) LIMITED
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14. REVENUE

Revenue Streams

The Company generates revenue primarily from marketing of crude oil, fuel oil and trading in crude oil, petroleum products and LNG. The Company has the following main revenue streams:

- Sales in crude oil, petroleum products and LNG

Sales of crude oil, petroleum products and LNG to related companies and/or third parties. The Company acts as a principal in these transactions, therefore full sales revenue is recognised on Company's financial statements for these transactions.

Effective 1 January 2025, the Company acts as an agent on behalf of LIEL for sales of LNG trading and its related activities. The Company provides these services to LIEL under a service level agreement ("SLA"). The SLA fee is recognised as revenue in the Company's financial statements.

- Fuel oil

Sale of low sulphur fuel oil to related companies and/or third parties. Company acts as a principal in these transactions, therefore full sales revenue is recognised on Company's financial statements for these transactions.

- Marketing fee ("Marketing")

The Company acts as a marketing agent for various entities for the sale of crude oil and gas. The Company acts as an agent in these transactions, therefore only marketing fee is recognised on Company's financial statements for these transactions.

The Company provides advisory services to PETRONAS E&P Argentina S.A. in support of their domestic sales in Argentina. SLA fee is recognised in the Company's financial statements.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

14. REVENUE (CONTINUED)

Revenue Streams (continued)

	2025 USD'000	2024 USD'000
Revenue from contracts with customers	1,017,298	2,161,474
Revenue for the year	<u>1,017,298</u>	<u>2,161,474</u>

In the following table, revenue is disaggregated by primary geographical markets, major products/services lines and timing of revenue recognition:

	2025 USD'000	2024 USD'000
Primary geographical markets		
- Africa	3,337	155
- Asia	730,055	1,243,692
- North America	87,985	313,099
- Europe	191,775	580,076
- South America	4,146	24,452
	<u>1,017,298</u>	<u>2,161,474</u>

Disaggregation of revenue from contracts with customers

	2025 USD'000	2024 USD'000
Major products/services lines		
- Crude oil & petroleum product sales	960,298	1,578,148
- Fuel oil	37,232	-
- LNG sales	-	580,200
- Marketing fee	564	3,126
- SLA fees	8,098	-
- Shipping and storage related services	11,106	-
	<u>1,017,298</u>	<u>2,161,474</u>

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

14. REVENUE (CONTINUED)

	2025 USD'000	2024 USD'000
Timing of revenue recognition		
- Products transferred at a point in time	1,006,192	2,161,474
- Services fully rendered overtime	11,106	-
	<u>1,017,298</u>	<u>2,161,474</u>

Contract balances

The following table provides information about receivables from contracts with customers:

	31.12.2025 USD'000	31.12.2024 USD'000
Receivables	<u>265,255</u>	<u>266,558</u>

Nature of goods and services

Revenue is measured based on the consideration specified in a contract with a customer. The Company recognises the revenue at a time when it transfers the control over a good or service to a customer. This revenue recognition criteria applies to sales of crude oil, petroleum products, fuel oil and LNG of the Company. Control over a product or service is passed to a customer according to the contract terms (based on Incoterms):

Incoterms	Timing of recognition or method used to recognise revenue	Significant payment terms
▪ FOB ▪ CFR ▪ CIF	Revenue is recognised when the Company delivers the crude oil, petroleum product or fuel oil on board the vessel nominated by the customer at loading port specified in the contract/bill of lading.	Standard payment term for the crude oil and products supplied shall be made within 30 days of the Bill of Lading date, unless the contract stipulates different payment terms.
▪ DES ▪ DAP	Revenue is recognised when the Company delivers the crude oil, petroleum products, fuel oil or LNG at a destination point specified in the contract/bill of lading.	Standard payment term for the crude oil, products and LNG supplied shall be made within 5 to 10 days of the Notice of Readiness date at a destination point, unless the contract stipulates different payment terms.

For shipping and storage related services, revenue is recognised when the service to the customers is fully rendered. Credit period of 30 days from invoice date.

There are no variable elements in consideration, obligation for returns or refunds, nor warranty in the provision of goods and services by the Company.

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NOTES TO THE FINANCIAL STATEMENTS
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15. NET TRADING INCOME

	2025	2024
	USD'000	USD'000
Net trading income on derivatives measured at FVTPL	9,246	17,978
Net trading income on physically settled commodity contracts	21,283	21,214
	<u>30,529</u>	<u>39,192</u>

Reconciliation of invoiced amounts for crude, fuel oil, product and LNG with the Financial Statements:

	Invoice Amount (non GAAP measure)	Netting adjustment	Statement of Profit or Loss and Other Comprehensi ve Income
	USD'000	USD'000	USD'000
For the year ended 31 December 2025			
Revenue	2,779,180	1,761,882	1,017,298
Cost of sales	(2,769,578)	(1,740,599)	(1,028,979)
Net trading income crude oil, petroleum product and fuel oil		21,283	

	Invoice Amount (non GAAP measure)	Netting adjustment	Statement of Profit or Loss and Other Comprehensi ve Income
	USD'000	USD'000	USD'000
For the year ended 31 December 2024			
Revenue	3,483,249	1,321,775	2,161,474
Cost of sales	(3,460,329)	(1,300,561)	(2,159,768)
Net trading income crude oil, petroleum product and fuel oil		21,214	

The Company enters into third party trading transactions as defined in Note 2.12. Business performance related to trading transactions in crude, fuel oil and petroleum products is measured by management based on invoiced amounts as they occur, as presented in column Invoice Amount.

16. OTHER INCOME

	2025	2024
	USD'000	USD'000
Service level agreement fees and others	<u>6,174</u>	<u>7,848</u>

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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17. (LOSS)/PROFIT BEFORE TAXATION

Included in (loss)/profit before taxation are the following charges:

	Note	2025 USD'000	2024 USD'000
Auditor's remuneration	18	691	750
Depreciation of property, plant, and equipment	3	10,866	1,743
Staff costs	19	15,382	20,660
Finance cost on lease liabilities		1,411	993
Finance cost on trade loans		55	3,234
Net impairment losses on trade and other receivables		310	-
Net loss on realised foreign exchange		859	565
Net loss on unrealised derivative		-	16,878
<i>and credits:</i>			
Net gain on unrealised foreign exchange		(1,064)	(410)
Net gain on realised derivative		(9,746)	(18,073)
Net gain on unrealised derivative		(3,409)	-

18. AUDITOR'S REMUNERATION

	2025 USD'000	2024 USD'000
Audit of these financial statements	670	636
Additional fees for audit of prior year financial statements	21	114
	<u>691</u>	<u>750</u>

19. STAFF NUMBERS AND COSTS

The average number of persons employed by the Company during the year, analysed by category was as follows:

	Number of employees	
	2025	2024
Marketing and trading	9	7
Logistics	18	17
Finance, risk and administration	34	40
	<u>61</u>	<u>64</u>

The aggregate payroll costs of these persons were as follows:

	2025 USD'000	2024 USD'000
Wages and salaries	11,730	16,885
Social security costs	2,379	2,201
Defined contributions	709	835
Training	61	69
Other benefits	503	670
	<u>15,382</u>	<u>20,660</u>

PETCO TRADING (UK) LIMITED
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20. TAX CREDIT

	2025 USD'000	2024 USD'000
Current tax expense		
United Kingdom corporation tax charge for the current year	-	1,161
Adjustments in respect of prior year	(135)	-
Foreign tax suffered	80	-
Foreign tax suffered in respect of prior year	187	-
	<u>132</u>	<u>1,161</u>
Deferred tax credit		
Origination and reversal of temporary differences	(468)	(1,407)
	<u>(468)</u>	<u>(1,407)</u>
Tax credit	<u>(336)</u>	<u>(246)</u>

Corporation tax is calculated at 25% (2024: 25%) of the estimated assessable (loss)/profit for the year.

The tax assessed for the period is lower than the standard rate of corporation tax in the UK (2025: 25%) (2024: 25%). The differences are explained below:

	2025 USD'000	2024 USD'000
(Loss)/Profit before taxation	<u>(277)</u>	<u>18,264</u>
Profit multiplied by standard rate of Corporation tax in the UK of 25% (2024:25%)	(69)	4,566
<i>Effects of:</i>		
Adjustments in respect of prior year	52	-
Other expenses not deductible for tax purposes	169	68
Income not taxable	(4)	-
Effect of group relief in prior year	-	(4,817)
Effect of overseas tax rates	51	-
Losses not recognised	(535)	(63)
Tax credit	<u>(336)</u>	<u>(246)</u>

The assessment of the Pillar Two income taxes is performed based on best financial statements information available for the constituent entities in the Group as at reporting period by applying the requirements issued by Organisation for Economic Co-operation and Development ("OECD"). Based on the assessment carried out for the period, the Pillar Two effective tax rates in which the Company operates are above 15%. Therefore, the Company does not expect a potential exposure to Pillar Two top-up taxes.

Deferred tax not recognised

A potential deferred tax asset of USD58.5 million (2024: USD58.9 million) has not been recognised at the Balance Sheet date, on the basis that the availability of suitable taxable profits arising in the future against which the temporary difference could reverse is not considered probable. The unrecognised deferred tax asset is in relation to tax losses of USD233 million (2024: USD231 million), USD1.1 million (2024: USD3.3 million) is in relation to property, plant and equipment and Nil (2024: USD1.8 million) is in relation to unrealised hedging gains and other timing differences arise from unpaid pensions.

PETCO TRADING (UK) LIMITED
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21. RELATED PARTIES DISCLOSURES

Significant transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Company if the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, including all entities within the PETRONAS group. Related parties may be individuals or other entities. Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company either directly or indirectly and an entity that provides key management personnel services to the Company. The key management personnel include all the Directors of the Company, and certain members of senior management of the Company.

Key management personnel compensation

	2025 USD'000	2024 USD'000
Emolument	<u>1,164</u>	<u>966</u>

Directors' remuneration

The Directors of this Company (Registered No. 06695912) (other than the CEO) are remunerated by the ultimate parent company, PETRONAS. The aggregate remuneration paid to directors in respect of their services as a Director of this Company amounted to USD1.16 million (2024: USD0.97 million), this also included the accrued retirement benefits of one of the directors. The emolument paid to the highest paid director was USD1.15 million (2024: USD0.96 million).

Other transactions with related parties

In addition to the transactions detailed elsewhere in the financial statements, the Company had the following transactions with related parties during the financial year:

	2025 USD'000	2024 USD'000
<i>Sales of goods and services</i>		
Ultimate holding company	4,290	4,707
Related companies	<u>228,363</u>	<u>1,328,922</u>
<i>Purchases of goods and services</i>		
Ultimate holding company	663	411
Related companies	<u>944,969</u>	<u>1,223,777</u>

PETCO TRADING (UK) LIMITED
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21. RELATED PARTIES DISCLOSURES (CONTINUED)

	Amount owed by at year end 2025 USD'000	2024 USD'000	Amount owed to at year end 2025 USD'000	2024 USD'000
Ultimate holding company	6,248	5,255	435	632
Related companies	117,106	104,703	156,840	206,655

Sales and purchase of goods includes sales and purchases of crude oil, petroleum products, LNG and natural gas. The sales and purchase of natural gas, third party trading of crude oil, petroleum products and fuel oil are included within the net trading income. Sales and purchase of services includes administration, marketing and sourcing fee, volume fee, optimisation fee, support service charges, management related fee and recharge of expenses. The Directors of the Company have the opinion that all transactions have been entered into in the normal course of business and have been established on a commercial basis. Amounts owed by/to at year end includes derivative assets / liabilities positions with an associated company. Information regarding outstanding balance arising from related transactions as at 31 December 2025 are disclosed in Note 7.1, 7.2, 10 and 12. The balances are not secured and usually settled by cash with payment terms of 30 days.

22. FINANCIAL INSTRUMENTS

Categories of financial instruments

The table below provides an analysis of financial instruments categorised as follows:

- (i) Fair value through profit or loss ("FVTPL")
- (ii) Amortised Cost ("AC")

31.12.2025		FVTPL	AC	Total Carrying Amount
	Note	USD'000	USD'000	USD'000
Financial assets				
Trade and other receivables*	7.1	-	298,251	298,251
Derivative assets	12	9,944	-	9,944
Cash and cash equivalents	8	-	97,458	97,458
		9,944	395,709	405,653
Financial liabilities				
Trade and other payables	10	-	413,609	413,609
Borrowings	11	-	2,645	2,645
Lease liabilities	5	-	20,060	20,060
Derivative liabilities	12	8,265	-	8,265
Provisions	13	700	-	700
		8,965	436,314	445,279

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22. FINANCIAL INSTRUMENTS (CONTINUED)

Categories of financial instruments (continued)

31.12.2024		FVTPL	AC	Total Carrying Amount
	Note	USD'000	USD'000	USD'000
Financial assets				
Trade and other receivables*	7.1	-	298,603	298,603
Lease receivables	7.2	-	9,454	9,454
Derivative assets	12	22,555	-	22,555
Cash and cash equivalents	8	-	112,687	112,687
		22,555	420,744	443,299
Financial liabilities				
Trade and other payables	10	-	374,463	374,463
Lease liabilities	5	-	28,414	28,414
Derivative liabilities	12	24,286	-	24,286
		24,286	402,877	427,163

* These balances are net of impairment loss and exclude non-financial instruments balances such as prepayments and input VAT.

Financial risk management

The Company is exposed to various risks that are particular to its core business, which consists of marketing of crude oil and sales and purchase of crude oil, petroleum products, LNG, and gas. These risks, which arise in the normal course of the Company's business, comprise credit risk, liquidity risk and market risks relating to interest rates, foreign currency exchange rates and commodity prices.

The PETRONAS Group has policies and guidelines in place that set the foundation for a consistent approach towards establishing an effective financial risk management across the PETRONAS Group. Risk taking activities are undertaken within acceptable level of risk or risk appetite, whereby the risk appetite level reflects business considerations and capacity to assume such risks. The risk appetite is established at Board level, where relevant, based on defined methodology and translated into operational thresholds.

The Company's goal in risk management is to ensure that the management understands, measures and monitors the various risks that arise in connection with their operations. Policies and guidelines have been developed to identify, analyse, appraise and monitor the dynamic risks facing the Company. Based on this assessment, the Company adopts appropriate measures to mitigate these risks in accordance with the Company's view of the balance between risk and reward.

Credit Risk

Credit risk is the potential exposure of the Company to losses in the event of non-performance by counterparties. The Company's exposures to credit risk arise principally from customer receivables. Credit risks are controlled by individual subsidiaries in line with the PETRONAS' policies and guidelines.

**PETCO TRADING (UK) LIMITED
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Credit Risk (continued)

With respect to credit risk arising from the other financial assets of the Company, which comprise cash, and derivative financial assets, the Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments. The Company limits its counterparty credit risk by performing know your client process by PETRONAS risk team.

i) Receivables

Risk management objectives, policies, and processes for managing the risk

The Company minimises credit risk by ensuring that all potential third-party counterparties are assessed prior to registration and entering new contracts. Existing third-party counterparties are also subject to regular reviews, including re-appraisal and approval of granted limits. The creditworthiness of counterparties is assessed based on analysis of all available quantitative and qualitative data regarding business risks and financial standing, together with the review of any relevant third party and market information. Reports are prepared and presented to the management that cover the Company's overall credit exposure against limits and securities, exposure by segment and overall quality of the portfolio.

Depending on the types of transactions and creditworthiness of the counterparty, the Company further mitigates and limits risks related to credit by requiring collateral or other credit enhancements such as cash deposits, letter of credit and bank guarantees.

As at 31 December 2025, the Company had nil receivables (2024: Nil) secured by letter of credit.

Management has taken reasonable steps to ensure that receivables that are neither past due nor impaired are stated at their realisable values. A significant portion of these receivables are regular customers that have been transacting with the Company.

At each reporting date, the Company assesses whether any of the trade receivables and contract assets are credit impaired. The gross carrying amounts of credit impaired trade receivables are written off (either partially or full) when there is no realistic prospect of recovery. This is generally the case when the Company determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. Nevertheless, trade receivables and contract assets that are written off could still be subject to enforcement activities.

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NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Credit Risk (continued)

i) Receivables (continued)

Exposure to credit risk, credit quality and collateral

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets are represented by the carrying amounts in the statement of financial position.

At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the customer;
- a breach of contract such as a default;
- it is probable that the customer will enter bankruptcy or other financial reorganisation;

Concentration of credit risk

Exposure to losses increases with concentrations of credit risk which may exist when several counterparties are involved in similar activities or operate in the same industry sector or geographical area, which may result in their ability to meet contractual obligations being impacted by changes in economic, political or other conditions. The Company's principal customers with which it conducts business are located globally and there is no significant concentration of credit risk at reporting date.

The exposure of credit risk for trade receivables at the reporting date by product is as follow:

	31.12.2025	31.12.2024
	USD'000	USD'000
Crude Oil	20,371	86,605
Fuel Oil	18,575	177
LNG and gas	218,605	176,001
Others	12,042	3,776
	<u>269,593</u>	<u>266,559</u>

Above balances only include trade receivables and exclude balances such as prepayments, input VAT and closing year-end balance with SocGen.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Credit Risk (continued)

i) Receivables (continued)

Recognition and measurement of impairment loss

In managing credit risk of trade receivables, the Company manages its debtors and takes appropriate actions (including but not limited to legal actions) to recover long overdue balances.

The Company performs credit rating assessment of all its counterparties in order to measure ECL of trade receivables for all segments using the PETRONAS Credit Risk Rating System. This credit rating assessment considers quantitative assessment using the counterparties' financial statements or a qualitative assessment of the counterparties, which includes but is not limited to their reputation, competitive position, industry and geopolitical outlook.

In determining the ECL, the probability of default assigned to each counterparty is based on their individual credit rating. This probability of default is derived by benchmarking against available third party and market information, which also incorporates forward looking information.

Loss given default is the assumption of the proportion of financial asset that cannot be recovered by conversion of collateral to cash or by legal process and is assessed based on the Company's historical experience.

As at the end of the reporting period, the maximum exposure to credit risk arising from receivables is equal to the carrying amount.

The ageing of receivables net of impairment amount as at the end of the reporting period is analysed below:

	31.12.2025	31.12.2024
	USD'000	USD'000
Current	265,393	262,072
Within one year	2,860	2,904
Over one year	1,340	1,583
	<u>269,593</u>	<u>266,559</u>

The Company has not recognised any loss allowance for trade receivables that are secured by collateral and/or other credit enhancements such as letter of credit and bank guarantees.

The movements in the allowance for impairment losses of receivables during the year are as follows:

	31.12.2025	31.12.2024
	USD'000	USD'000
Opening balance	-	-
Impairment loss recognised	310	-
Closing balance	<u>310</u>	<u>-</u>

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NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Credit Risk (continued)

ii) *Financial guarantee*

Risk management objectives, policies and processes for managing the risk

The Company provides financial guarantee to a bank in respect of an unfunded risk participation basis 30% of the risk associated with the Seller's potential default. The Company monitors on an ongoing basis, the results of the Seller entity and repayments made by the Seller entity.

Exposure to credit risk

As at the end of reporting date, the maximum exposure to credit risk for the Company amounted to USD12 million (2024: Nil), which represents the Company unfunded risk participation as disclosed in Note 13. As at reporting date, there was no indication that the Seller entity would default on repayment.

iii) *Cash and bank balances*

Credit risk from balances with banks and financial institutions is managed by Company's Treasury department in accordance with the Company's policy. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. Credit rating of the Company's investments at period end is at least equivalent with Moody's rating A3. The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2025 and 31 December 2024 is the carrying amounts as illustrated on note 21 except for derivative financial instruments. The Company's maximum exposure relating to financial derivative instruments is noted in the liquidity table below.

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22. FINANCIAL INSTRUMENTS (CONTINUED)

Liquidity Risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's exposure to liquidity risk arises principally from its trade and other payables, and borrowings. In managing its liquidity risk, the Company maintains sufficient cash and liquid marketable assets. The Company's current credit rating enables it to access banking facilities in excess of current and future requirements of the Company.

During the year ended 31 December 2025, the Company drew trade loans of USD106 million (2024: USD 311 million). The Company repaid USD103 million (2024: USD311 million) of trade loans during the period. Remaining amount of trade loans as at 31 December 2025 was USD2.6 million (2024: Nil).

The Company's borrowing powers are not limited by its Articles of Association.

Maturity analysis

The table below summarises the maturity profile of the Company's financial liabilities based on contractual undiscounted payments:

	Carrying amount	Total	Contractual cash flow			
	USD'000	USD'000	Within one year	1-2 years	2-5 years	More than 5 years
	USD'000	USD'000	USD'000	USD'000	USD'000	USD'000
2025						
Trade and other payables	413,609	413,609	413,609	-	-	-
Derivative liabilities	8,265	8,265	8,265	-	-	-
Short-term borrowings	2,645	2,645	2,645	-	-	-
Lease liabilities	20,060	20,060	10,436	1,126	5,124	3,374
Provisions	700	735	60	225	450	-
	<u>445,279</u>	<u>445,314</u>	<u>435,015</u>	<u>1,351</u>	<u>5,574</u>	<u>3,374</u>
2024						
Trade and other payables	374,463	374,463	374,463	-	-	-
Derivative liabilities	24,286	24,286	24,286	-	-	-
Lease liabilities	28,414	28,414	19,167	9,247	-	-
	<u>427,163</u>	<u>427,163</u>	<u>417,916</u>	<u>9,247</u>	<u>-</u>	<u>-</u>

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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025**

22. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk

Market risk is the risk or uncertainty arising from changes in market prices and their impact on the performance of the business.

The market price changes that the Company is exposed to include interest rates, foreign currency exchange rates, commodity price, equity prices and other indices that could adversely affect the value of the Company's financial assets, liabilities or expected future cash flows.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Short term receivables and payables are not significantly exposed to interest rate risk.

Since most of the Company's financial assets and liabilities are fixed rate instruments measured at amortised cost, a change in interest rate is not expected to have material impact on the Company's profit or loss.

The Company's borrowings comprise unsecured term loans with a maximum maturity of 120 days and incur interest ranging from SOFR + 0.40% to SOFR + 0.75% per annum (See Note 11). All these loans were repaid in less than 120 days and therefore the exposure to interest rate risk is immaterial.

Foreign exchange risk

The Company is exposed to varying levels of foreign exchange risk when they enter transactions that are not denominated in the respective companies' functional currencies and when foreign currency monetary assets and liabilities are translated at the reporting date. The main underlying economic currency of the Company's cash flow is USD.

The Company's foreign exchange management policy is to minimise economic and significant transactional exposures arising from currency movements. The Company coordinates the handling of foreign exchange risks typically by matching receipts and payments for the same currency. Residual net positions are actively managed and monitored against prescribed policies and control procedures.

The Company's exposure to foreign currency risk is primarily from Pound Sterling (GBP). The Company's exposure to foreign currency changes for all other currencies is not material.

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk (continued)

Foreign exchange risk (continued)

The Company's significant exposure to foreign currency risk, based on carrying amounts as at the reporting date is as follows:

	Denominated in GBP			
	31.12.2025		31.12.2024	
	GBP'000	USD'000	GBP'000	USD'000
Trade and other receivables	222,218	298,751	242,256	307,816
Derivative assets	12,244	16,485	18,359	23,793
Trade and other payables	(218,009)	(286,406)	(243,167)	(309,171)
Derivative liabilities	(4,291)	(5,778)	(18,374)	(23,055)
Cash and cash equivalents	9,237	12,437	49	62
Net exposure	21,399	35,489	(877)	(555)

	Denominated in EUR			
	31.12.2025		31.12.2024	
	EUR'000	USD'000	EUR'000	USD'000
Trade and other receivables	275	745	692	720
Derivative assets	-	-	(463)	(481)
Trade and other payables	(42)	24	(22)	(23)
Derivative liabilities	(3,790)	(4,453)	-	-
Cash and cash equivalents	49	57	197	205
Net exposure	(3,508)	(3,627)	404	421

Currency risk sensitivity analysis

Sensitivity analysis for a given market variable provided in this note, discloses the effect on profit or loss and equity as at 31 December 2025 assuming that a reasonably possible change in the relevant market variable had occurred at 31 December 2025 and been applied to the risk exposures in existence at that date to show the effects of reasonably possible changes in price on profit or loss and equity to the next annual reporting date.

Reasonably possible changes in market variables used in the sensitivity analysis are based on implied volatilities, where available, or historical data for equity and commodity prices and foreign exchange rates. Reasonably possible changes in interest rates are based on management judgement and historical experience.

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22. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk (continued)

Currency risk sensitivity analysis (continued)

The sensitivity analysis is hypothetical and should not be considered to be predictive of future performance because the Company's actual exposure to market prices is constantly changing with changes in the Company's portfolio of among others, commodity, debt and foreign currency contracts. Changes in fair values or cash flows based on a variation in a market variable cannot be extrapolated because the relationship between the change in market variable and the change in fair value or cash flows may not be linear.

In addition, the effect of a change in a given market variable is calculated independently of any change in another assumption and mitigating actions that would be taken by the Company. In reality, changes in one factor may contribute to changes in another, which may magnify or counteract the sensitivities.

The following table demonstrates the indicative pre-tax effects on the profit or loss and equity of applying reasonably foreseeable market movements in the following currency exchange rates:

	Appreciation in foreign currency rate %	Effect on profit or loss USD'000
31.12.2025		
GBP	10	3,549
EUR	5	181
31.12.2024		
GBP	10	56
EUR	5	21

This analysis assumes all other variables, in particular interest rates, remain constant. A depreciation in foreign currency rate above would have had equal but opposite effect, on the basis that all other variables remain constant.

Commodity price risk

The Company is exposed to changes in crude oil, petroleum products and gas prices which may affect the value of the Company's assets, liabilities or expected future cash flows. To mitigate these exposures from a business perspective, the Company enters various financial instruments. In effecting these transactions, the Company operates within policies and procedures designed to ensure risks are minimised.

All financial instruments positions are marked-to-market by independent risk management department and reported to management for performance monitoring and risk management purposes on a daily basis.

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NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Commodity price risk (continued)

	Change in year-end price	Effect on profit or loss FY 2025 USD'000	Effect on profit or loss FY 2024 USD'000
Gas prices	+5%	-	3
	-5%	-	(3)
Oil & petroleum price	+5%	(1,227)	(6,954)
	-5%	1,227	6,954

Hedging Activities

The majority of the hedged forecast transactions are expected to occur at various dates within the next three months.

Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables reasonably approximate their fair values due to the relatively short-term nature of these financial instruments.

The following table analyses financial instruments carried at fair value by valuation method.

31.12.2025	Financial instruments carried at fair value			
	Level 1 USD'000	Level 2 USD'000	Level 3 USD'000	Total USD'000
Financial assets:				
Commodity swaps and futures	1,724	-	-	1,724
Commodity physical contracts	-	8,220	-	8,220
	<u>1,724</u>	<u>8,220</u>	<u>-</u>	<u>9,944</u>

31.12.2025	Financial instruments carried at fair value			
	Level 1 USD'000	Level 2 USD'000	Level 3 USD'000	Total USD'000
Financial liabilities:				
Commodity swaps and futures	3,812	-	-	3,812
Commodity physical contracts	-	4,453	-	4,453
	<u>3,812</u>	<u>4,453</u>	<u>-</u>	<u>8,265</u>

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22. FINANCIAL INSTRUMENTS (CONTINUED)

Fair value information (continued)

31.12.2024	Financial instruments carried at fair value			
	Level 1 USD'000	Level 2 USD'000	Level 3 USD'000	Total USD'000
Financial assets:				
Commodity swaps and futures	2,179	-	-	2,179
Commodity physical contracts	-	20,376	-	20,376
	<u>2,179</u>	<u>20,376</u>	<u>-</u>	<u>22,555</u>

31.12.2024	Financial instruments carried at fair value			
	Level 1 USD'000	Level 2 USD'000	Level 3 USD'000	Total USD'000
Financial liabilities:				
Commodity physical contracts	-	24,286	-	24,286
	<u>-</u>	<u>24,286</u>	<u>-</u>	<u>24,286</u>

Derivatives

The calculation of fair value for derivative financial instruments depends on the type of instruments. The fair value of commodity swaps and futures is based on the fair value difference between market price at the date of measurement and the contracted price.

Transfer between Level 1 and Level 2 fair values

There have been no transfers between Level 1 and Level 2 fair values during the financial year (2024: No transfer in either direction).

	Financial instruments carried at fair value		
	As at 1 Jan 2025	Net credit	As at 31 Dec 2025
	USD'000	USD'000	USD'000
Net Derivative financial position held at fair value through profit or loss	<u>(1,731)</u>	<u>3,409</u>	<u>1,678</u>

	Financial instruments carried at fair value		
	As at 1 Jan 2024	Net credit	As at 31 Dec 2024
	USD'000	USD'000	USD'000
Net Derivative financial position held at fair value through profit or loss	<u>15,147</u>	<u>(16,878)</u>	<u>(1,731)</u>

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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22. FINANCIAL INSTRUMENTS (CONTINUED)

Fair value information (continued)

Income/(expense), net gains and (losses) arising from financial instruments

	Interest income/ (expense) USD'000	Others¹ USD'000	Total USD'000
2025			
Financial instrument at fair value through profit or loss - mandatorily required by IFRS 9	-	13,155 ²	13,155
Financial assets at amortised cost	1,238	27,346*	28,584
Financial liabilities at amortised cost	(1,500)*	(28,516)*	(30,016)
Total	(262)	11,985	11,723
	Interest income/ (expense) USD'000	Others¹ USD'000	Total USD'000
2024			
Financial asset at fair value through profit or loss - mandatorily required by IFRS 9	-	1,195 ²	1,195
Financial assets at amortised cost	2,953	(7,068)*	(4,115)
Financial liabilities at amortised cost	(4,227)*	6,503*	2,276
Total	(1,274)	630	(644)

¹ Others relates to gains and losses arising from financial instruments, such as realised and unrealised gains or losses on foreign exchange and oil and gas futures.

² Includes gains and losses on oil and gas futures presented in Net Trading Income, which are used to hedge the Company's expected purchase, sale or usage requirements.

* These amounts are included within Other Income/(Expenses) and Finance Costs on the face of Statement of Profit or Loss and Other Comprehensive Income. The remaining amount in this category relates realised/unrealised foreign exchange losses and gains and impairment losses.

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23. OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

The following tables shows the amounts recognised for financial assets and liabilities, which are subject to offsetting arrangements, on a gross basis and the amounts offset in the Statement of Financial Position.

The amounts set off below relate to receivables from and payables to various Counterparties which are subject to European Federation of Energy Traders ("EFET") arrangements, where the Company currently has an enforceable legal right to offset and the intention to settle on a net basis. Net settlement is made on 20th of every month.

	Gross amounts recognised financial assets (liabilities) USD'000	Amounts set off USD'000	Net amount presented in the Statement of Financial Position USD'000
Financial assets			
Other trade receivables	316,803	(150,993)	165,810
Trade and other receivables from related parties	276,731	(153,377)	123,354
Other receivables	12,970	-	12,970
Derivative assets	46,656	(36,712)	9,944
31 December 2025	653,160	(341,082)	312,078
Financial liabilities			
Trade payables	(395,434)	150,993	(244,441)
Amounts due to related parties	(310,652)	153,377	(157,275)
Lease liabilities	(20,060)	-	(20,060)
Other payables	(12,353)	-	(12,353)
Derivative liabilities	(44,977)	36,712	(8,265)
31 December 2025	(783,476)	341,082	(442,394)
	Gross amounts recognised financial assets (liabilities) USD'000	Amounts set off USD'000	Net amount presented in the Statement of Financial Position USD'000
Financial assets			
Other trade receivables	281,925	(107,809)	174,116
Trade and other receivables from related parties	161,116	(60,612)	100,504
Lease receivables	9,454	-	9,454
Other receivables	28,436	-	28,436
Derivative assets	32,733	(10,178)	22,555
31 December 2024	513,664	(178,599)	335,065

PETCO TRADING (UK) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
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23. OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES (CONTINUED)

	Gross amounts recognised financial assets (liabilities)	Amounts set off	Net amount presented in the Statement of Financial Position
Financial liabilities			
Trade payables	(257,084)	107,809	(149,275)
Amounts due to related parties	(267,899)	60,612	(207,287)
Lease liabilities	(28,414)	-	(28,414)
Other payables	(17,901)	-	(17,901)
Derivative liabilities	(34,464)	10,178	(24,286)
31 December 2024	(605,762)	178,599	(427,163)

24. CAPITAL MANAGEMENT

The Company define capital as total equity and debt of the Company. The objective of the Company's capital management is to maintain an optimal capital structure and ensuring availability of funds in order to meet financial obligations and support business growth. As a subsidiary of Petroliaam Nasional Berhad ("PETRONAS"), the Company's approach in managing capital is outlined in the PETRONAS Financial Policy.

There were no changes in the Company's approach to capital management during the year.

25. ADOPTION OF NEW AND REVISED PRONOUNCEMENT

As of 1 January 2025, the Company adopted the following pronouncements that have been issued by the IASB and are applicable as listed below:

Effective for annual periods beginning on or after 1 January 2025

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability.

The initial application of the above mentioned pronouncements did not have any material impact to the financial statements of the Company.

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26. PRONOUNCEMENTS NOT YET IN EFFECT

The following standards pronouncements that have been issued by the IASB will become effective in future financial reporting periods and have not been adopted by the Company in these financial statements:

Effective for annual periods beginning on or after 1 January 2026

Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)

Effective for annual periods beginning on or after 1 January 2027

IFRS 18 Presentation and Disclosure in Financial Statements

IFRS 18 replaces IFRS 101 and introduces enhanced requirements for the presentation and disclosure of financial statements. The standard mandates structured subtotals in the statement of profit or loss, classification of income and expenses into defined categories, and disclosure of management - defined performance measures with reconciliations to MFRS amounts. The Company has assessed the estimated impact on its financial statements upon the initial application of MFRS 18. The implementation of MFRS 18 will not result in changes to the recognition and measurement of financial statements. The impact will be limited to the financial statements' disclosure and presentation.

The Company is expected to apply the abovementioned pronouncements beginning from the respective dates the pronouncements become effective. The initial application of the abovementioned pronouncements is not expected to have any material impacts to the financial statements of the Company.

The IASB has issued pronouncements which are not yet effective, but for which are not relevant to the operations of the Group and the Company and hence, no further disclosure is warranted.

27. SUBSEQUENT EVENTS

There were no significant events after the reporting date.

28. IMMEDIATE HOLDING COMPANY AND ULTIMATE HOLDING COMPANY

The immediate holding company is PETRONAS Trading Corporation Sdn. Bhd. ("PETCO"), a company incorporated and domiciled in Malaysia.

The ultimate holding company is Petroliam Nasional Berhad ("PETRONAS"), a company incorporated and domiciled in Malaysia.

The holding and ultimate holding companies' registered offices are at Tower 1, PETRONAS Twin Towers, Kuala Lumpur City Centre, 50088 Kuala Lumpur, Malaysia.

PETRONAS' consolidated financial statements are available to be viewed online or downloaded from www.petronas.com.my.